

trend is still moving in your direction. If you would be petrified to be on the other side of the market, that is probably a good sign that you should be lightening your position.

21. Staring at the Screen All Day Can Be Expensive

Clark believes that watching every tick can lead to both overtrading and an increased chance of liquidating good positions. He advises finding a more productive use of time to avoid the pitfalls of watching the market too closely.

22. Just Because You've Heard It 100 Times Doesn't Make It Less Important: Risk Control Is Critical

Many of the traders interviewed are more concerned about not losing money than making money. Risk control strategies mentioned by the traders included the following:

- **Risk limits on individual trades**—Many of the traders interviewed will risk only a small percentage of assets under management on any single trade. Ramsey, for example, only risks a loss of about 0.1 percent on any individual trade. Although such a close stop is probably too extreme (or perhaps even inadvisable) for most traders to adopt, the general concept of using a relatively close stop at trade inception, while allowing a wider stop relative to prevailing prices after a profit margin has been established, is an effective risk management approach that could work well for many traders.
- **Exposure reduction thresholds**—Despite achieving double-digit returns and managing assets in double-digit billions, the BlueCrest discretionary strategy has contained its worst drawdown to under 5